

GA 06

Legal Considerations

Group 9

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Introduction

Introducing a revolutionary approach to grocery shopping that combines convenience with cost-efficiency. Our innovative platform is designed to transform the way you shop for groceries. Simply provide your location and a list of items you need, and our advanced system will do the rest. We compare prices for all your items across various nearby stores, calculating the total cost at each location. This way, we identify the stores that offer the lowest total price for your entire list, saving you both time and money. Say goodbye to the hassle of visiting multiple stores or manually comparing prices. With our service, you can effortlessly find the best deals near you, ensuring a smarter and more budget-friendly shopping experience

Type of Company

Initially, Grocer Ai, will start as an **Informal Partnership**. This allows us to work together without the formalities of incorporation. As we progress, we plan to formalize into a **Limited Liability Company (LLC)** to protect our personal assets and offer flexibility in management and profit sharing.

Splitting of Shares

- **Equity Distribution:** Given the collaborative nature of our project, we'll initially distribute equity equally among the five members (20% each). This reflects our equal commitment to the project's success.
- **Vesting Schedule:** To encourage long-term commitment, we'll introduce a simple vesting agreement as we transition to an LLC. We propose a three-year vesting period, ensuring members are incentivized to contribute to Grocer Ai's growth.

Implications of Employee Departure

If a member decides to leave the project before we formalize into an LLC, we'll discuss and reallocate their share among the remaining members. Once we're an LLC, any departing member's share will be redistributed based on the vesting agreement.

Securing Funding for Your Company's Initial Stage

Grocer Ai's' initial stage will be funded through:

- **Bootstrapping:** Initial contributions from the five founders to cover critical early-stage expenses.
- **Angel Investors:** Seeking investment from angels who bring not only capital but valuable industry experience and networks.

Other legal considerations

- **Intellectual Property (IP):** All work created for 'Grocer Ai' will be jointly owned by team members. We'll draft a simple agreement outlining IP rights and responsibilities.
- **Data Protection:** We commit to protecting user data from the outset, adhering to principles of transparency and security, even in this early stage. As we progress, we'll ensure compliance with relevant data protection laws.
- **Dispute Resolution:** Any disputes within the team will be resolved through open dialogue and majority vote to maintain harmony and focus on our project goal.
- **Use of Trademarks:** Grocer Ai plans to use the partner stores' names, logos, or trademarks, then the agreement should clearly define the terms of use, ensuring it doesn't infringe on the partners' brand rights.

Duration and Termination for Partnership:

- **Agreement Term:** Define the duration of the partnership and under what conditions it will be reviewed or renewed.
- **Termination Clauses:** Include terms that allow either party to terminate the partnership under agreed circumstances, such as breach of agreement, and outline the process for orderly termination.

Future Steps

As Grocer Ai evolves into a more formal business, we'll consult legal experts to guide us in formalizing our legal structure, refining our agreements, and ensuring our compliance with all applicable laws and regulations.